SECRETARIAL PRACTICE

Time: 3 Hours **Max. Marks: 80**

Note:

(1) All questions are compulsory.

(2) Figures to the right indicate full marks for the questions.

(3) Figures to the left indicate question numbers.

(4) Answer to every question must be started on a new page.

Q.1. (A) Select the proper option from the options given below and rewrite the sentences: **(5)[15]**

(1) During the period of boom in the share market _____ are issued to raise capital.
(a) bonds (b) debentures (c) equity shares

(2) 'Global Depository Receipt' enables to raise more capital in the _____ market.
(a) national (b) international (c) local

(3) If a share of ₹ 100 is issued at ₹ 100, it is said to be issued at _____.
(a) par (b) discount (c) premium

(4) Dividend should be distributed within _____ days from its declaration.
(a) 45 (b) 21 (c) 30

(5) The oldest stock exchange in Asia is _____.
(a) National Stock Exchange (NSE)
(b) Bombay Stock Exchange (BSE)
(c) Calcutta Stock Exchange (CSE)

(B) Match the correct pairs of words from group 'A' and group 'B' : **(5)**

	Group 'A'		Group 'B'
a.	Financial management	1.	Savings Account
b.	Overdraft facility	2.	Sale or gift shares to another person
c.	Transmission of shares	3.	Management of business funds
d.	Depository Act	4.	Owners of the company
e.	Debentureholders	5.	1992
		6.	Management of business activities
		7.	Current Account
		8.	1996
		9.	Transfer of shares due to operation of law
		10.	Creditors of the company

(C) Write a word / term / phrase which can substitute each of the following statements: **(5)**

(1) A type of shares which have preferential rights over equity shares in respect of dividend and repayment of capital.
(2) Dividend declared by a company between two annual general meetings.
(3) A letter informing the applicant that shares have not been allotted to him.
(4) An institution which controls and regulates activities of the stock exchange.
(5) An organization which holds shares in security in electronic form.

Q.2. Distinguish between the following (Any THREE): **[15]**

(1) Fixed capital and Working capital
(2) Shareholder and Debentureholder
(3) Final dividend and Interim dividend
(4) Share certificate and Share warrant
(5) Primary market and Secondary market

Q.3. Write notes on the following (Any THREE): **[15]**

(1) Capital structure and its components
(2) Need and importance of institutional financing
(3) Bonus shares
(4) Renewal of deposits
(5) Legal provisions regarding unclaimed / unpaid dividend.

Q.4. State with reasons, whether the following statements are True or False (Any THREE): **[15]**

(1) Bondholders are not owners of the company.
(2) Transfer of shares is initiated by the company.
(3) A private company can accept deposits from the public.
(4) It is compulsory to allot shares to every applicant.
(5) Handling demat shares is very time consuming.

Q.5. Attempt the following (Any TWO): **[10]**

(1) Draft a letter regarding payment of interest on debentures.
(2) Explain any five examples of credit instruments of money market.
(3) Draft a letter of thanks to the depositor of a company.
(4) Draft a letter to the depositor regarding repayment of deposit.

Q.6. What is 'equity share'? Explain the features of equity shares. **[10]**

OR

Draft a letter of allotment of shares.